

DEPARTMENTAL POLICY

MA Only

Local office staff initiate a referral to the Office of Inspector General (OIG) when an overpayment (OP) appears to result from a suspected intentional program violation (IPV) by an individual eligible solely for Medicaid; see [Bridges Administrative Manual \(BAM\) 700](#). Proceed as follows:

- Determine the overpayment period and amount.
- Evaluate the potential overpayment for suspected IPV; see [BAM 720](#) for IPV criteria. If the potential overpayment meets IPV criteria an Overpayment Referral must be completed in Bridges, ensure Yes is checked for Suspected IPV to route the referral to OIG.

Exception: Do **not** recoup OPs resulting from hearing decisions upholding MDHHS regarding the level of long-term care.

PROCEDURES

Document decisions and actions in case comments. A manager must review the case record.

MA Payment Information

Requests for MA payment information must be done by OIG. If an IPV is suspected contact OIG to request MA payment information.

Overpayment Determination

When the amount of MA payments is received, determine the OP amount.

For an OP due to unreported income or a change affecting need allowances:

- If there would have been a deductible or larger deductible, the OP amount is the correct deductible (minus any amount already met) **or** the amount of MA payments, whichever is less.

- If there would have been a larger LTC, hospital or post-eligibility patient-pay amount, the OP amount is the difference between the correct and incorrect patient-pay amounts **or** the amount of MA payments, whichever is less.

For an OP due to **any other** reason, the OP amount is the amount of MA payments.

OIG Referral

The **minimum** OP amount for OIG referral is **\$500 unless** the local prosecutor sets a lower amount. OIG through regular channels informs affected local offices of lower amounts.

Refer an IPV that falls below the established minimum **if** the group's actions are repetitious, flagrant, or if there is a previous IPV. The referral must be approved by the local office director or designee.

Recoupment

Before recoupment is initiated, a manager or a designee must review the MA case. After review, notify the client (or legal guardian) in writing that:

- MDHHS must seek recoupment, **but**
- Refusal to repay will **not** cause denial of current or future MA if the client is otherwise eligible.

If recoupment is agreed to, complete a DHS-4358B, Recoupment Agreement, have the client/guardian sign it, then forward the original to the local office for collection. If he/she **refuses** to sign it, inform the local office in writing.

A delinquent OP balance can be referred to Treasury for collection **if**:

- The client signed a DHS-4358B, **or**
- Recoupment is court ordered.

LEGAL BASE

MA

42 CFR 431.230(b)
MCL 400.60